

Authority for Personal Data
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The Minister of Finance
P.O. Box 20201

2500 EE The Hague

Date

August 10, 2023

Our reference

z2023-02830

Your letter dated

May 12, 2023

Your reference

2023-0000091335

Subject

Advice on the draft for the Amendment Act limiting access to UBO registers

Dear Ms. Kaag,

In your letter dated May 12, 2023, the Authority for Personal Data (AP) was consulted pursuant to Article 36, fourth paragraph, of the General Data Protection Regulation (GDPR) regarding the draft for the Amendment of the Commercial Register Act 2007 and the Implementation Act on the registration of ultimate beneficial owners of trusts and similar legal structures to limit access to information about ultimate beneficial owners of companies and other legal entities as well as access to information about ultimate beneficial owners of trusts and similar legal structures (Amendment Act limiting access to UBO registers) (hereinafter: the draft).

The AP has considered whether the draft concerning the processing of personal data is in accordance with the Charter of Fundamental Rights of the European Union (EU), the general legal principles of the EU, the GDPR, and other relevant law, whereby it must be sufficiently demonstrated that the principle of proportionality is met by:

1. the draft being suitable to achieve the pursued objective of general interest or the protection of the rights and freedoms of others (suitability);
2. the objective not being reasonably achievable in a less intrusive manner that affects the fundamental rights of the data subjects less (subsidiarity);
3. the interference not being disproportionate to that objective, which particularly implies a weighing of the importance of the objective and the severity of the interference (proportionality);
4. the draft being sufficiently clear and precise regarding the scope and being predictable in application (legal certainty);

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5. the draft sufficiently indicates under which circumstances and conditions personal data may be processed, thereby ensuring that the interference is limited to what is strictly necessary (substantive and procedural safeguards); and
6. the draft is binding under national law (bindingness under national law).

The AP is of the opinion that the provision of the draft regarding access to the UBO register for trusts and similar legal structures (hereinafter: UBO register trusts), insofar as the data demonstrably relates

to a trust that has a majority interest in a legal entity established outside the EU, does not pass the test of point 3. proportionality of the aforementioned framework without further substantiation, so that the Court of Justice of the European Union (CJEU) may set aside this provision without further substantiation due to conflict with higher law. Furthermore, the assessment of the personal data aspects of the draft gives the AP reason to make a remark.

Scope of the draft

On November 22, 2022, the CJEU ruled that a part of the fifth anti-money laundering directive (AMLD5) is invalid, insofar as it stipulates that member states must ensure that information about the ultimate beneficial owner (in English: ultimate beneficial owner, abbreviated: UBO) of companies and other legal entities established within their territory (hereinafter: UBO register companies) is accessible to every member of the population in all cases. Because this part has been implemented in Dutch legislation, the invalidation has consequences for both the UBO register for companies and other legal entities, as well as for the UBO register trusts.

The draft aims to limit access to the Dutch UBO registers to:

A. Parties for whom mandatory access must be arranged based on the fourth anti-money laundering directive (AMLD4). These are:

1 Directive (EU) 2018/843 of the European Parliament and of the Council of May 30, 2018, amending Directive (EU) 2015/849 on the prevention of the use of the financial system for money laundering or terrorist financing, and amending Directives 2009/138/EC and 2013/36/EU (OJ EU 2018, L 156/43).

2 CJEU November 22, 2022, ECLI:EU:C:2022:912.

3 Directive (EU) 2015/849 of the European Parliament and of the Council of May 20, 2015, on the prevention of the use of the financial system for money laundering or terrorist financing, amending Regulation (EU) No. 648/2012 of the European Parliament and of the Council and repealing Directive 2005/60/EC of the European Parliament and of the Council and Directive 2006/70/EC of the Commission (OJ EU 2015, L 141/73).

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☐ The competent authorities designated by general administrative measures⁴ and the financial intelligence unit.⁵

☐ The reporting entities, in the context of the client investigation they must conduct under the anti-money laundering directive.⁶

☐ Categories of natural persons and legal entities to be designated by general administrative measures, insofar as they have a demonstrable legitimate interest. This legitimate interest must relate to the prevention or combatting of money laundering, related predicate offenses, or the financing of terrorism.⁷

☐ Regarding the UBO register trusts: any natural or legal person insofar as the data demonstrably pertains to a trust that has a majority interest in a legal entity established outside the EU, consisting of direct or indirect ownership.

B. Parties that gain access in the interest of compliance with international sanctions and the supervision and enforcement thereof.⁸

C. Administrative bodies to be designated by general administrative measures for which it is necessary to identify UBOs in connection with a legal or European legal obligation.⁹

D. Parties registered in the UBO registers, insofar as it concerns that party.

Advice

Proportionality: Access to UBO register trusts insofar as the data demonstrably pertains to a trust that

has a majority interest in a legal entity established outside the EU.

With access to information about ultimate beneficiaries, the EU legislator aimed to prevent money laundering and the financing of terrorism.¹⁰ Inherent to this accessibility

4 Competent authorities are: public authorities assigned tasks in the area of combating money laundering and terrorist financing, as well as tax authorities, supervisors of reporting entities, and authorities tasked with investigating or prosecuting money laundering, related predicate offenses, and terrorist financing, and tracing, seizing, freezing, and confiscating criminal assets (Article 30, paragraph 6, of the AMLD5). The competent authorities are designated in Article 51a of the Trade Register Decree 2008.

5 This access has already been implemented. The concept does not bring about any substantive changes in this regard.

6 Namely banks, other financial enterprises, or natural persons, legal entities, or companies acting in the context of their professional activities, to which Article 1a of the Act on the Prevention of Money Laundering and Financing of Terrorism (Wwft) applies.

7 For example, the press and civil society, non-governmental organizations engaged in preventing and combating money laundering and terrorist financing, individuals who wish to know the identity of the ultimate beneficiaries of a legal entity because they may enter into transactions with them, and financial institutions and authorities involved in combating offenses related to money laundering or terrorist financing (explanatory memorandum, p. 17).

8 Including financial institutions, such as Wwft institutions and damage and health insurers, and the Authority for the Financial Markets and De Nederlandsche Bank (explanatory memorandum, p. 18-19).

9 For example, the recovery and resilience facility (explanatory memorandum, p. 19).

10 Article 1, paragraph 1, of the AMLD4, recitals 30 and 31 of the AMLD5. See also CJEU November 22, 2022, ECLI:EU:C:2022:912, paragraph 58.

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is that individuals who wish to obtain information for reasons unrelated to the pursued objective are also enabled to freely access that information.¹¹ The Court of Justice of the European Union (CJEU) has ruled that this access is not limited to what is strictly necessary, so the provisions of the directive must be set aside.¹²

As a result of this ruling by the CJEU, the concept limits access to the Dutch UBO registers. However, regarding the UBO register for trusts, the concept stipulates, in accordance with AMLD5,¹³ that any natural or legal person has access to data in that register, insofar as the data demonstrably pertains to a trust that holds a majority interest in a legal entity established outside the EU, consisting of direct or indirect ownership. This still allows individuals to obtain information about ultimate beneficiaries for reasons unrelated to the pursued objective. The requirement that these individuals must first demonstrate that the relevant trust actually holds a majority interest in an entity established outside the EU does not diminish this.

This part of the concept will, without further justification, not withstand scrutiny against the requirement of proportionality, just as was the case with the UBO register for companies. If no relevant difference is demonstrated, the CJEU, in the opinion of the AP, will also set aside this part of the directive—and thus the implementation as laid down in this concept. The AP is therefore of the opinion that the regime for UBO trusts should be aligned with the regime for UBO companies as it applies after the ruling, unless it is substantiated that there is a relevant difference.

Further processing: Access to UBO registers in the interest of compliance with international sanctions and the supervision and enforcement thereof, and for which it is necessary to identify UBOs in connection with a legal or EU law obligation.

The concept stipulates that parties gain access to the UBO registers in the interest of compliance with international sanctions and the supervision and enforcement thereof. It also specifies that administrative bodies designated by a general administrative measure, for which it is necessary to identify UBOs in connection with a legal or EU law obligation, will gain access. As a result, personal data will be processed for a purpose other than that for which the personal data were originally collected.

Processing for another purpose is only permitted if there is:

- consent from the data subject;
- a Union law provision or a member state law provision that constitutes a necessary and proportionate measure in a democratic society to safeguard the objectives referred to in Article 23, paragraph 1, of the GDPR; or
- compatible further processing.¹⁴

The concept appears to rely on the second mentioned possibility. However, the explanation does not indicate that the conditions set for this are met (necessary and proportionate measure to safeguard the objectives referred to in Article 23, paragraph 1, of the GDPR).

The AP advises that this justification should be included in the explanation.

Workload of the AP

It is likely that the concept will require the AP to make limited additional efforts. This effort has not yet been accounted for in the financing of the AP. This will need to be addressed in consultation with the Minister for Legal Protection—who is responsible for the budget from which the AP is financed—prior to the entry into force. For this reason, a copy of this advice is sent to the Minister for Legal Protection.

Disclosure of the advice

The AP intends to make this advice public no earlier than four weeks after its issuance on the website www.autoriteitpersoonsgegevens.nl. Unless otherwise notified, it assumes that there are no objections to this.

Sincerely,

Authority for Personal Data,

Monique Verdier

Vice Chairperson

¹⁴ Article 6, paragraph 4, of the GDPR.